

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-20

INTERNATIONAL EXPRESS TRUCKING, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD. And
COSCO SHIPPING (NORTH AMERICA) INC., as agent for
COSCO SHIPPING LINE CO., LTD.,

RESPONDENTS.

**INTERNATIONAL EXPRESS TRUCKING, INC.'S OPPOSITION
TO MOTION TO DISMISS COMPLAINT OF RESPONDENT
COSCO SHIPPING (NORTH AMERICA) INC.**

Complainant International Express Trucking, Inc. (“Complainant” or “IXT”), by its undersigned attorneys, files this Opposition to the Motion to Dismiss Complaint filed by Respondent Cosco Shipping (North America) Inc. (“Cosco N.A.”). In support of its Opposition, IXT states the following:

I. BACKGROUND

On May 10, 2024, IXT filed a complaint (the “Complaint” or “Compl.”) in this matter against Respondents COSCO Shipping Lines Co., Ltd. (“Cosco Ltd.”) and Cosco N.A., as the agent of Cosco Ltd. *See* Compl. at ¶ 2. In the Complaint, IXT alleges violations of 47 U.S.C. § 41102(c) by Respondents. *See id.* at ¶¶ 13-18. The Complaint specifically asserts that COSCO Ltd. conducts its business in the United States through Cosco N.A. Compl. at ¶ 3. The Respondents’ answers were initially due on June 7, 2024, but the Respondents filed a consent request to extend

the time to answer from June 7, 2024 to June 17, 2024. *See* Doc. No. 7. On June 17, 2024, Cosco N.A. filed a Motion to Dismiss Complaint (the “Motion” or “Mot.”). *See* Doc. No. 9. Although Cosco N.A. styles its motion as seeking dismissal of the entire Complaint, it only states a purported basis for dismissal of the claims as they pertain to Cosco N.A. Cosco Ltd. has nonetheless failed to file an Answer.¹

II. ARGUMENT

Cosco N.A.’s motion should be denied because the Commission has personal and subject matter jurisdiction over Cosco N.A. as the agent through which Cosco Ltd. conducts its U.S. business. Cosco N.A. is subject to the FMC’s pendant personal jurisdiction because the allegations against the respondents arise from a common nucleus of operative facts. Allegations of Shipping Act violation made within the Complaint are within the Commission’s subject matter jurisdiction. Further, Cosco N.A.’s Motion should be denied because it seemingly responds to a complaint filed in a different FMC proceeding.

In matters before the FMC, Federal Rules of Civil Procedure apply to circumstances not covered by the Commission’s Rules. 46 C.F.R. § 502.12. Thus, while the Commission’s Rules do not provide expressly for motions to dismiss, the Commission looks to Fed. R. Civ. Pro 12(b)(1) when considering dismissal based on a lack of subject matter jurisdiction, and Fed. R. Civ. Pro. 12(b)(2) when considering dismissal based on a lack of personal jurisdiction. *See Access One Transport, Inc. v. OSCO Shipping Lines Co. Ltd.*, Docket No. 24-13, Doc. No. 14 (June 4, 2024); *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. – Possible Violations of 46 U.S.C. § 41102(c)* (hereinafter “ONE”), Docket No. 21-17, Doc. No. 15 at 1 (FMC Feb. 23, 2022). Dismissal based on lack of jurisdiction may be asserted as a facial attack based on

¹ Under 46 C.F.R. § 502.65 a party that fails to answer may be deemed to be in default.

the allegations in the pleadings or a factual attack, which permits the Commission to consider facts outside of the pleadings. *Mitsui O.S.K Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 9-01, 2011 FMC LEXIS 12, at *25 (FMC Aug. 1, 2011). When jurisdictional facts are intertwined with facts central to the merits of the claim, the Rule 12(b)(6) standard applies. *See ONE, supra* (citing *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 FMC LEXIS 216 at *6 (FMC Oct. 29, 2020)). The Fed. R. Civ. Pro. 12(b)(6) standard requires “a complaint contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’” *ONE, supra* at 2 (quoting *Mitsui O.S.K. Lines Ltd., supra*; *Iqbal v. Twombly*, 550 U.S. 544, 570 (2007)).

A. FMC Has Personal and Subject Matter Jurisdiction Over Cosco N.A.

The FMC Small Claims Officer’s initial decision in *Tcw, Inc. v. Evergreen Shipping Agency (am.) Corp. & Evergreen Line Joint Service Agreement*, Docket No. 1966(I), Doc. No. 1 (FMC Feb. 19, 2021) controls the jurisdictional issues raised by Cosco N.A. and mandates that dismissal on the basis claimed by Cosco N.A. be rejected. In *Tcw, Inc.*, claimant TCW, Inc. filed a complaint alleging a violation of 46 U.S.C. § 411032(c) against Evergreen Line Joint Service Agreement (“Evergreen-Principal”) and Evergreen Shipping Agency (America) Corporation (“Evergreen-Agent”), who acted as the agent of Evergreen-Principal. *Id.* at 1. Evergreen-Agent sought dismissal on the basis that the Commission lacked personal jurisdiction and subject matter jurisdiction over Evergreen-Agent because it was merely the North American agent and not an FMC-regulated entity. *Id.* at 7. *Tcw, Inc.* holds that the Commission has jurisdiction to adjudicate whether an agent of a vessel operating common carrier violated the Shipping Act. *Id.* at 15 (addressing whether per diem charges imposed by Evergreen-Principal and Evergreen-Agent violated Demurrage and Detention Rules under Section 41102(c)). *Tcw, Inc.* recognizes that the Commission’s pendant personal jurisdiction extends to an agent of a VOCC. *Id.* (“A court may

assert pendent personal jurisdiction over a defendant with respect to a claim for which there is no independent basis of personal jurisdiction so long as it arises out of a common nucleus of operative facts with a claim in the same suit over which the court does have personal jurisdiction”) (*quoting Action Embroidery Corp. v. Atl. Embroidery, Inc.*, 368 F.3d 1174, 1180 (9th Cir. 2004)); *ONE*, *supra* at 3 (rejecting the argument that the Commission lacks personal and subject matter jurisdiction over the agent of a common carrier).

Thus, both Respondents Cosco Ltd. and Cosco N.A. are subject to the FMC’s personal and subject matter jurisdiction. Cosco Ltd. is subject to the FMC’s jurisdiction as a VOCC. *Tcw, Inc.*, *supra*. Cosco N.A. is an appropriate party because it is the American agent of Cosco Ltd. through which Cosco Ltd. conducts its commercial activity in the United States. IXT’s Complaint alleges violations of the Shipping Act by Cosco Ltd., which were carried out by its U.S. agent.

B. Cosco N.A.’s Motion Fails to Address the Complaint Filed By IXT.

Further, the Commission should deny Cosco N.A.’s Motion because it responds to facts which it inaccurately claims IXT alleged in the complaint. Cosco N.A. claims that IXT’s “Complaint alleges only that CSLNA is ocean common carrier.” Mot. at 3. To the contrary, IXT distinguishes between Cosco Ltd. and Cosco N.A. in its complaint and clearly identifies that Cosco Ltd. does business in the U.S. through Cosco N.A., acting as the agent of Cosco Ltd. Compl. at ¶ 2. The caption of the Complaint clearly identifies “COSCO SHIPPING (NORTH AMERICA) INC., as agent for COSCO SHIPPING LINE CO., LTD.” *Id.* at 1. In its motion, Cosco N.A. seeks to refute IXT’s “conclusory assertions” that Cosco N.A. “is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. 40102(8), with organization number 015614” and that “the FMC has personal jurisdiction over Respondent as an ocean common carrier as that term is defined by 46 C.F.R. 520.2.” Mot. at 4 (purporting to quote IXT’s complaint). Cosco N.A.’s sharp attack of the Complaint is apparently directed at someone else’s complaint. IXT did not identify

Cosco N.A. as a vessel-operating ocean common carrier or reference Cosco Ltd.'s license number in its complaint.

The quoted language seemingly is from the first complaint filed in *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, Docket No. 24-01, Doc. No. 1 (Jan. 4, 2024). In *Visual Comfort & Co.*, Cosco N.A. sought dismissal of a complaint where it was the sole respondent. See *id.*, Doc. No. 7 (Motion to dismiss for Lack of Jurisdiction) (hereinafter “24-01 MTD”). In the Motion filed in this case, Cosco N.A. relies on the ALJ’s Order Granting Complainant Motion to Amend Complaint and Substitute Respondent, and Granting Respondent’s Motion to Dismiss (hereinafter “24-01 Order”) in *Visual Comfort & Co.* as supporting dismissal of IXT’s complaint. See Mot. at 5-6. However, in the *Visual Comfort & Co.* case, the complainant consented to Cosco N.A.’s suggestion that the complainant substitute Cosco Ltd. for Cosco N.A. in an amended complaint, which Cosco N.A. would not oppose. See Docket No. 24-01, Doc. No. 8 ([Visual Comfort & Co.’s] Unopposed Motion for Leave to File Amended Complaint), 24-01 MTD, 24-01 Order. In the 24-01 Order, the ALJ merely observed that the complainant and respondent “agree that [Cosco N.A.] is not an appropriate party to this proceeding.” See 24-01 Order at 2.

In the Motion at issue here, Cosco N.A. attributes to the 24-01 Order the following holdings:

- CSLNA does not hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation. That is done by COSCO Shipping Lines Co., Ltd.
- CSLNA does not assume responsibility for the transportation of origin to destination. That responsibility belongs to COSCO Shipping Lines Co., Ltd. and bills of lading are issued in the name of COSCO Shipping Lines Co., Ltd.
- CSLNA does not use vessels operating on the high seas to provide transportation. That is again done by COSCO Shipping Lines Co., Ltd.
- CSLNA does not operate any vessels by which U.S.-foreign transportation is provided. All such vessels are operated by COSCO Shipping Lines Co., Ltd. As explained above,

CSLNA acts only as an agent for a disclosed principal -- COSCO Shipping Lines Co., Ltd. That principal/agent relationship is demonstrated on all bills of lading, invoices, and other documents sent out by CSLNA on behalf of COSCO Shipping Lines Co., Ltd.

Mot. at 5-6. However, this language appears nowhere in the 24-01 Order, but rather appears in Cosco N.A.'s own motion seeking dismissal of the *Visual Comfort & Co.* Complaint. See 24-01 MTD at 5-6. As previously stated, the ALJ never addressed the substance of Cosco N.A.'s motion in *Visual Comfort & Co.* because the parties ultimately agreed that Cosco N.A. "is not an appropriate party to this proceeding." See *id.*, Doc. No. 9 at 2.

Thus, Cosco N.A.'s Motion seeking dismissal of IXT's complaint fails to address the Complaint in this case.

III. CONCLUSION

WHEREFORE, for all the reasons stated above, Cosco N.A.'s Motion to Dismiss should be denied and Cosco Ltd. should be deemed to be in default.

June 27, 2024

Respectfully submitted,



Brendan Collins
Rachel E. Amster
GKG LAW, P.C.
1055 Thomas Jefferson Street, NW
Suite 620
Washington, DC 20007
Telephone: 202-342-6793
Facsimile: 202-342-5299
Email: bcollins@gkglaw.com
ramster@gkglaw.com

*Attorneys for Complainant
International Express Trucking Inc.*

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 27th day of June, 2024.


